



KANN AUDITS

Security Review For Arche



Prepared For: **Arche**

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Audit Summary

Arche engaged Kann Audits to perform a manual security review of the Arche Protocol. From 28 April to 30 May, a team of 3 auditors reviewed the in-scope source code. No issues were identified during the review.

Protocol Overview

Arche is a yield infrastructure protocol built on Ethereum. At its core is arUSD, a yield-bearing stablecoin fully backed by USDC. When you deposit USDC into the Arche vault, you receive arUSD, a composable ERC-4626 token that appreciates in value as the underlying strategies generate returns.

The protocol is designed around a single principle: maximize risk-adjusted yield on stablecoins without sacrificing liquidity or transparency. There are no lock-ups, no withdrawal delays, and no hidden mechanics. Every contract is on-chain and verifiable.

Scope

Repository: <https://github.com/yieldarche/arche-contracts-audit>

Audited Commit: [ac1519f](#)

Final Commit: [ac1519f](#)

Files:

- [src/Yearn V3 Vault.vy](#)
- [src/HealthCheckAccountant.sol](#)

Methodology

An engagement with Kann Audits involves a team of security researchers performing independent reviews of the codebase at the start of the engagement, followed by collaborative review sessions where auditors share findings and explore additional attack vectors to improve overall coverage.

The review included a line-by-line manual inspection of the in-scope codebase, along with analysis of the protocol architecture, access control mechanisms, and state transitions. The team also assessed the code against common smart contract security best practices and industry standards.

The auditing process specifically considered:

- Testing against common and uncommon attack vectors
- Ensuring compliance with industry best practices and known smart contract security standards
- Verifying contract logic matches the client’s intended behavior
- Cross-referencing patterns with industry-standard implementations
- Manual line-by-line review by experienced auditors
- Access control verification
- Architecture and design analysis to ensure secure component interactions and clearly defined trust boundaries
- State transition and logic review to detect inconsistencies, unexpected behavior, or potential exploitation paths

Risk Classification

- **High** – result in directly exploitable vulnerabilities that can lead to significant material loss or critical impact on the system and require immediate fixing.
- **Medium** – result in moderate loss of funds or impact multiple users, but only under specific conditions. They are exploitable without privileged access but typically require certain assumptions or edge cases.
- **Low/Info** – issues are non-exploitable findings that do not pose a direct security risk or impact the system's integrity. These issues are typically cosmetic, best-practice deviations, or related to documentation and compliance. While they do not require urgent remediation, they may be addressed to improve code quality and maintainability.

Findings Count

High	Medium	Low/Info
0	0	0

Detailed Findings

ID	Title	Severity	Status

During the audit of the Arche protocol, no critical, high, medium, or low severity vulnerabilities were identified within the scoped contracts.

Disclaimers

A security audit can never guarantee the complete absence of vulnerabilities. Audits are a time, resource, and expertise-bound effort in which we aim to identify as many issues as possible.

About Kann Audits

Kann Audits is a top-tier Web3 security audit company, trusted by leading projects and providing comprehensive audits and expert guidance to secure the most critical blockchain protocols.

Kann Audits provides services such as manual auditing, AI audits using the Kann AI Labs tool, and incident response.

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